

Mauboussin reaches a similar conclusion to Bernstein: Most people lack the emotional detachment and discipline required for good, long-term performance in the markets.

The primate species we know as *Homo sapiens* has been around for about two million years. Modern finance has been around for a handful of decades. If all of human existence was a 24-hour clock, then investing as we understand it today has been around for merely 2 seconds.

Mauboussin asks the human species this question: “What have you learned in the past 2 seconds?”³⁰⁸

The answer, unfortunately, is “Not enough...”

Been round here long?

Timeline of *Homo sapiens*

Event	When (years ago)	Time of Day
<i>Homo sapiens</i> appear	2,000,000	12:00 AM
Mitochondrial Eve (“mother of all humans”)	180,000	9:50 PM
Domesticated <i>Homo sapiens</i>	20,000	11:46 PM
Hindu/Arabic numbering system introduced in the West	800	11:59:25 PM
Modern Finance Theory	40	11:59:58 PM

Up next, we look at how and why we panic at exactly the right time to stay alive, but precisely the wrong time to be good investors.

³⁰⁴ Barry Ritholtz, “Transcript: William J. Bernstein,” The Big Picture (March 7, 2021).

³⁰⁵ Efficient Frontier Advisors, www.efficientfrontier.com

³⁰⁶ William J. Bernstein, *The Delusions Of Crowds: Why People Go Mad in Groups* (Atlantic Monthly Press, 2021).

³⁰⁷ When you see the term “*Bayesian*,” think of it as meaning “Probabilities;” for any given theory, what probability best expresses the degree of belief you have that the hypothesis is true?

³⁰⁸ Michael Mauboussin, “What Have You Learned in the Past 2 Seconds?” *Frontiers of*